First Supplement to Confidential Private Placement Memorandum

EnCap Energy Capital Fund XII, L.P.

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May 12, 2023

The information set forth herein (the "**Supplement**") supplements, modifies and amends the Confidential Private Placement Memorandum, dated February 28, 2023 (the "**Memorandum**"), of EnCap Energy Capital Fund XII, L.P. (the "**Partnership**"). Any statement contained in the Memorandum shall be deemed to be modified or superseded for all purposes to the extent that a statement contained herein modifies or supersedes such statement. This Supplement updates the Memorandum solely with respect to the information set forth herein and does not purport to provide a comprehensive update. All other information provided in the Memorandum is current as of the dates provided therein. Capitalized terms used but not defined in this Supplement are used as defined in the Memorandum.

In addition to the Memorandum and this Supplement, prospective investors should review the Partnership Agreement and, to the extent applicable to such investor, the amended and restated limited partnership agreement of EnCap Energy Capital Fund XII-B, L.P. or the amended and restated exempted limited partnership agreement of EnCap Energy Capital Fund XII-C, L.P. Any prospective investor that has previously submitted a Subscription Agreement need not reconfirm its subscription.

The following updates are made to the Memorandum in connection with the formation of EnCap Energy Capital Fund XII-B, L.P., a feeder fund formed as a Delaware limited partnership, and EnCap Energy Capital Fund XII-C, L.P., a feeder fund formed as an exempted limited partnership under the laws of the Cayman Islands.

I. UPDATED INTRODUCTION

The following is added to the introduction of the Memorandum in the location indicated below (marked to show changes).

This confidential private placement memorandum (this "**Memorandum**") is being provided to prospective investors on a confidential basis for the sole purpose of evaluating an investment in EnCap Energy Capital Fund XII, L.P. (the "**Partnership**"). EnCap Equity Fund XII GP, L.P. (the "**General Partner**") will be the general partner of the Partnership. The contents of this Memorandum should not be construed as investment, legal, or tax advice. The delivery of this Memorandum does not represent a recommendation by the Partnership, the General Partner, or any of their respective directors, officers, managers, employees, partners, members, shareholders, agents, or affiliates, to invest in the limited partnership interests in the Partnership (the "**Interests**") described herein or an opinion as to whether such an investment in the Interests is suitable for any individual or entity receiving this Memorandum. Each recipient of this Memorandum should make such investigations as it deems necessary to arrive at an independent evaluation of an investment in the Interests and should consult its own legal counsel and financial, accounting, regulatory, and tax advisors to determine the consequences of such an investment.

No person is or has been authorized in connection with this offering of the Interests to give any information or make any representations other than those contained in this Memorandum. **Each prospective investor, by accepting delivery of this Memorandum, agrees not to make a photocopy or other copy or to transmit or divulge the contents hereof to any person other than a legal, business, investment, or tax advisor in connection with obtaining the advice of such persons with respect to this offering.** This Memorandum has been furnished on a confidential basis solely for the information of the person to whom it has been delivered and may not be reproduced or used for any other purpose. Upon request, this Memorandum and any copies hereof are to be destroyed or returned in their entirety to the General Partner.

The Interests have not been registered under the U.S. Securities Act of 1933, as amended (the "**Securities Act**"), or the applicable securities laws of any U.S. state or any non-U.S. jurisdiction, and are being offered and sold in reliance on exemptions from the registration requirements of the Securities Act and any such applicable laws. **The Interests have not been approved or disapproved by the U.S. Securities and Exchange Commission or by the securities regulatory authority of any state or any other relevant jurisdiction, nor has any other authority or commission made any determination regarding the accuracy or adequacy of this Memorandum. Any representation to the contrary is unlawful.**

The Interests are being offered and sold only to persons who are "accredited investors" within the meaning of Regulation D under the Securities Act and who are "qualified purchasers" within the meaning of Section 3(c)(7) of the U.S. Investment Company Act of 1940, as amended (the "**Investment Company Act**") or outside the United States in accordance with Regulation S under the Securities Act. Each prospective investor will be required to make a representation as to the foregoing and, among other things, to represent that it is purchasing its Interest for its own account for investment purposes and not for resale or distribution. In addition, Interests may not be resold or otherwise transferred, unless an exemption from the registration requirements of the Securities Act and any applicable securities laws of any state or other relevant jurisdiction is available and the transfer otherwise complies with the transfer restrictions and other requirements contained in the agreement of limited partnership of the Partnership. There is no public market for the Interests, no such market is expected to develop in the future, and there is no obligation on the part of any person to register the Interests under the Securities Act or the securities laws of any jurisdiction. Investors should be aware that they may be required to bear the financial risks of this investment for an indefinite period of time.

The Partnership will not be registered as an "Investment Company" (as defined in the Investment Company Act) under the Investment Company Act. The Partnership is currently pursuing a venture capital strategy, and neither the General Partner nor any of its affiliates has registered as an "Investment Adviser" under the Investment Advisers Act of 1940.

EnCap Energy Capital Fund XII-B, L.P., a Delaware limited partnership (the "**U.S. Feeder**") has been formed to serve as the UBTI/CAI Feeder Fund (as defined below) for certain U.S. Tax-Exempt Limited Partners and Sovereign Wealth Funds that desire to minimize exposure to UBTI and CAI. For more information about the tax considerations of the U.S. Feeder, see Section XI – "Legal & Tax Matters – United Stated Federal Income Tax Considerations – Structure and Tax Considerations of the UBTI/CAI Feeder Fund."

EnCap Energy Capital Fund XII-C, L.P., an exempted limited partnership formed under the laws of the Cayman Islands (the "**Cayman Feeder**") has been formed to serve as the ECI Feeder Fund (as defined below) for certain Non-U.S. Limited Partners that are not Sovereign Wealth Funds that desire to minimize exposure to ECI. For more information about the tax considerations of the Cayman Feeder, see Section XI – "Legal & Tax Matters – United Stated Federal Income Tax Considerations – Structure and Tax Considerations of the ECI Feeder Fund."

The Cayman Feeder is a private fund for the purposes of the Private Funds Act (as amended) and therefore is required to register with the Cayman Islands Monetary Authority ("**CIMA**") pursuant to section 5(1) of that law within twenty-one days after acceptance of capital commitments.

The registration of a fund by CIMA does not constitute any guarantee or assurance by CIMA to any investor as to the performance or creditworthiness of the Cayman partnership.

Furthermore, in registering a fund, CIMA shall not be liable for any losses or default of the Cayman partnership or for the correctness of any opinions or statements expressed in any material used to solicit the purchase of investment interests in a Cayman partnership.

Neither CIMA nor any other governmental authority in the Cayman Islands has commented upon or approved the terms or merits of this Memorandum. There is no investment compensation scheme available to investors in the Cayman Islands.

FOR CAYMAN ISLANDS INVESTORS:

NO OFFER OR INVITATION TO SUBSCRIBE FOR INTERESTS IN THE CAYMAN FEEDER MAY BE MADE TO THE PUBLIC IN THE CAYMAN ISLANDS.

II. UPDATED SUMMARY OF PRINCIPAL TERMS

The following replaces in its entirety the relevant section of Section IX of the Memorandum titled "Summary of Principal Terms" (marked to show changes).

Independent Legal Counsel:	Vinson & Elkins L.L.P. and Appleby (Cayman) Ltd. have ~~has~~ been retained by the General Partner as legal counsel in connection with the organization of the Partnership and certain feeder funds, including the Cayman Feeder and the U.S. Feeder. Vinson & Elkins L.L.P. and Appleby (Cayman) Ltd. also act~~s~~ as counsel to EnCap and certain of its affiliates in connection with other matters. In connection with the offering of Interests in the Partnership and the feeder funds and subsequent advice to the Partnership and the feeder funds, the General Partner, EnCap and their affiliates, ~~and~~ Vinson & Elkins L.L.P. and Appleby (Cayman) Ltd. will not be representing the Limited Partners. No independent counsel has been retained to represent the Limited Partners.

III. UPDATED RISK FACTORS

The following is added to Section X of the Memorandum titled "Risk Factors" following the risk factor titled "EU and UK Privacy and Data Protection Law Compliance Risk."

Cayman Islands Privacy and Data Protection Act Compliance Risk
The Cayman Islands Data Protection Act (As Revised) (the "**Cayman Islands DPA**") introduces legal requirements for the Cayman Feeder based on internationally accepted principles of data privacy. The General Partner has prepared a document outlining the Cayman Feeder's data protection obligations and the data protection rights of investors (and individuals connected with investors) under the Cayman Islands DPA (the "**Cayman Islands Privacy Notice Supplement**"). The Cayman Islands Privacy Notice Supplement is included in the subscription documents and is available to existing investors from the General Partner.

Prospective investors should note that, by virtue of investing in the Cayman Feeder and associated interactions with the Cayman Feeder and its affiliates and/or delegates (including completing the subscription documents, and including the recording of electronic communications or phone calls where applicable), or by virtue of providing the Cayman Feeder with personal information on individuals connected with the investor (for example directors, trustees, employees, representatives, shareholders, investors, clients, beneficial owners or agents) such individuals will be providing the Cayman Feeder and its affiliates and/or delegates with certain personal information which constitutes personal data within the meaning of the Cayman Islands DPA. The Cayman Feeder shall act as a data controller in respect of this personal data and its affiliates and/or delegates may act as data processors (or data controllers in their own right in some circumstances).

By investing in the Cayman Feeder and/or continuing to invest in the Cayman Feeder, investors shall be deemed to acknowledge that they have read in detail and understood the Cayman Islands Privacy Notice Supplement and that the Cayman Islands Privacy Notice Supplement provides an outline of their data protection rights and obligations as they relate to the investment in the Cayman Feeder.

Oversight of the Cayman Islands DPA is the responsibility of the Ombudsman's office of the Cayman Islands. Breach of the Cayman Islands DPA by the Cayman Feeder could lead to enforcement action by the Ombudsman, including the imposition of remediation orders, monetary penalties, or referral for criminal prosecution.

The following is added to Section X of the Memorandum titled "Risk Factors" following the risk factor titled "Foreign Investment Clearance Risk."

Requests for Information
The Cayman Feeder or any of its agents domiciled in the Cayman Islands may be compelled to provide information, subject to a request for information made by a regulatory or governmental authority or agency under applicable law, for example, by CIMA, either for itself or for a recognized overseas regulatory authority, under the Monetary Authority Act (As Revised), or by the Cayman Islands Tax Information Authority (the "**TIA**"), under the Tax Information Authority Act (As Revised) and associated regulations, agreements, arrangements and memoranda of understanding. Disclosure of confidential information under such laws will not be regarded as a breach of any duty of confidentiality and, in certain circumstances, the Cayman Feeder and any of its agents, may be prohibited from disclosing that the request has been made.

Effect of Compulsory Withdrawals
In the event an investor's interest in the Cayman Feeder is withdrawn, the interest will be treated as having been withdrawn with effect from the relevant withdrawal date irrespective of whether or not the withdrawal proceeds have been determined or remitted. Accordingly, on and from the relevant withdrawal date, interest holders in their capacity as such will be creditors of the Cayman Feeder with respect to the withdrawal proceeds. Information on the proceeds paid for withdrawn interests may be obtained from the General Partner by the relevant investor.

The following replaces in its entirety the risk factor titled "Limitations of Counsel" in Section X of the Memorandum titled "Risk Factors" (marked to show changes).

Limitations of Counsel

Vinson & Elkins L.L.P. ("V&E") and Appleby (Cayman) Ltd. ("Appleby") have ~~has~~ been retained by the General Partner as counsel in connection with the organization of the Partnership and certain feeder funds, including the Cayman Feeder and the U.S. Feeder. V&E and Appleby may continue to serve in such capacity in the future, but have ~~has~~ not assumed any obligation to update this Memorandum. In connection with the offering of Interests and subsequent advice to the Partnership and the feeder funds, the General Partner, or any of their respective affiliates, V&E and Appleby will not be representing the investors. The engagement of V&E and Appleby by the General Partner in respect of the Partnership and the feeder funds is limited to the specific matters as to which each is consulted by the General Partner and, therefore, there may exist facts or circumstances which could have a bearing on the General Partner or financial condition or operations of the Partnership and the feeder funds with respect to which neither V&E nor Appleby have ~~has~~ been consulted and for which it disclaims any responsibility. More specifically, V&E and Appleby do ~~does~~ not undertake to monitor the compliance of the General Partner or its affiliates with their obligations to the Partnership and the feeder funds and ~~its~~ their investors, nor do they or will they monitor compliance with applicable laws. In connection with the preparation of this Memorandum, each of V&E and Appleby has relied upon information furnished to it by the General Partner and its respective affiliates and did not investigate or verify the accuracy and completeness of information set forth herein concerning the General Partner.

IV. UPDATED LEGAL & TAX MATTERS

The following replaces in its entirety the subsection titled "Compliance under FATCA and Obligation to Withhold" in Section XI of the Memorandum titled "Legal & Tax Matters – United States Federal Income Tax Considerations" (marked to show changes).

Compliance under FATCA and Obligation to Withhold

FATCA imposes a reporting regime, and potentially a 30% U.S. withholding tax with respect to withholdable payments made to a foreign financial institution ("**FFI**") or a non-financial foreign entity ("**NFFE**"), in each case, if the FFI or NFFE does not establish an exemption. Withholdable payments include payments of FDAP income (such as U.S. source payments of interest and dividends) and will include foreign pass-thru payments that are made, under proposed Treasury regulations, no earlier than two years after the date of publication of final Treasury regulations defining such payments. While withholdable payments would have originally included payments of gross proceeds from the sale or other disposition of stock, securities, and certain other assets that give rise to U.S. source payments on or after January 1, 2019, proposed Treasury regulations provide that such payments do not constitute withholdable payments. Taxpayers may rely on these proposed Treasury regulations until they are revoked or final Treasury regulations are issued.

To comply with FATCA, an FFI generally will be required to comply with due diligence and reporting requirements under an inter-governmental agreement ("**IGA**") between the United States and the country in which the FFI is resident or organized or, in the event no inter-governmental agreement is in effect with that country, under the Treasury regulations implementing FATCA. In order for the Cayman Feeder to comply with the U.S. IGA between the United States and the Cayman Islands (as defined below), the Limited Partners investing in the Cayman Feeder will be required to provide the Cayman Feeder (or its withholding agents) with information concerning their nationality, residence, identity and beneficial ownership. Limited Partners investing in the Cayman Feeder should be aware that information they disclose to the Cayman Feeder pursuant to FATCA may be disclosed to certain entities that make payments to the Cayman Feeder, the IRS, the Cayman Islands governmental authorities and other governmental authorities. See "Cayman Islands Tax Considerations – The Cayman Islands and FATCA" below.

If a Limited Partner fails to provide the information requested pursuant to FATCA or otherwise fails to comply with FATCA, such Limited Partner may be subject to FATCA withholding. Any such withholding taxes may be imposed on the distributions by the Partnership to such Limited Partner or on such Limited Partner's distributive share of income with respect to the Partnership or, if applicable, on the Limited Partner's pro rata share of payments to the Cayman Feeder. Amounts withheld, together with information regarding such Limited Partner, will be provided to the IRS. In addition, to the extent a Limited Partner fails to provide any information requested by the Cayman Feeder pursuant to FATCA, the General Partner and the Cayman Feeder may take any action and/or pursue all remedies at its disposal, including (i) organize an Alternative Investment Vehicle at the expense of such Limited Partner and transfer such Limited Partner's Commitment to such Alternative Investment Vehicle, (ii) exclude such Limited Partner from the Cayman Feeder, including by compulsory transfer or withdrawal, and/or (iii) hold back or deduct from any withdrawal proceeds or from any other payments or distributions to such Limited Partner any costs caused by such Limited Partner's action or inaction.

The failure of the Cayman Feeder to be FATCA compliant could cause all affiliated entities to be treated as noncompliant. If the Cayman Feeder does not comply with FATCA and, therefore is not exempt from FATCA withholding, the amounts available for distribution by the Cayman Feeder would be reduced such that the Limited Partners investing in the Cayman Feeder would receive a smaller net investment return.

FATCA is particularly complex and all Limited Partners are urged to consult their own tax advisors with respect to its application.

The following is added to Section XI of the Memorandum titled "Legal & Tax Matters" following the subsection titled "Compliance under FATCA and Obligation to Withhold."

Cayman Islands Tax Considerations

Cayman Islands Taxation

The Government of the Cayman Islands will not, under existing legislation, impose any income, corporate or capital gains tax, estate duty, inheritance tax, gift tax or withholding tax upon the Cayman Feeder or its investors. Interest, dividends and gains payable to the Cayman Feeder and all distributions by the Cayman Feeder to Limited Partners investing in the Cayman Feeder will be received free of any Cayman Islands income or withholding taxes. The Cayman Islands are not party to a double tax treaty with any country that is applicable to any payments made to or by the Cayman Feeder.

The Cayman Feeder will have registered as an exempted limited partnership under the Exempted Limited Partnership Act (As Revised) and has received an undertaking from the Financial Secretary of the Cayman Islands to the effect that, for a period of 50 years from the date of the undertaking, no law which is enacted in the Cayman Islands imposing any tax to be levied on profits or income or gains or appreciations shall apply to the Cayman Feeder or to any partner thereof in respect of the operations or assets of the Cayman Feeder or the interest of a partner therein; and may further provide that any such taxes or any tax in the nature of estate duty or inheritance tax shall not be payable in respect of the obligations of the Cayman Feeder or the interests of the partners therein.

The Cayman Islands and FATCA

The Cayman Islands has signed an inter-governmental information reporting and sharing agreement to improve international tax compliance and the exchange of information with the United States (the "**U.S. IGA**"). The Cayman Islands has also signed a multilateral competent authority agreement to implement the Organisation for Economic Co-operation and Development

Standard for Automatic Exchange of Financial Account Information – Common Reporting Standard ("**CRS**" and together with the U.S. IGA, "**AEOI**").

Cayman Islands regulations have been issued to give effect to AEOI (collectively, the "**AEOI Regulations**"). Pursuant to the AEOI Regulations, the TIA has published guidance notes on the application of AEOI.

All Cayman Islands "Financial Institutions" are required to comply with the registration, due diligence, and reporting requirements of the AEOI Regulations, unless they are able to rely on an exemption that allows them to become a "Non-Reporting Financial Institution" (as defined in the relevant AEOI Regulations) with respect to one or more of the AEOI regimes, in which case only the registration requirement would apply under CRS. The Cayman Feeder does not propose to rely on any reporting exemption and therefore intends to comply with the requirements of the AEOI Regulations.

The AEOI Regulations would require the Cayman Feeder to, amongst other things (i) register with the IRS to obtain a Global Intermediary Identification Number (in the context of the U.S. IGA only), (ii) register with the TIA, and thereby notify the TIA of its status as a "Reporting Financial Institution", (iii) adopt and implement written policies and procedures setting out how it will address its obligations under CRS, (iv) conduct due diligence on its accounts to identify whether any such accounts are considered "Reportable Accounts", and (v) annually report information on such Reportable Accounts to the TIA. The TIA will transmit the information reported to it to the overseas fiscal authority relevant to a reportable account (e.g., the IRS in the case of a U.S. Reportable Account) annually on an automatic basis.

For information on any potential withholding tax that may be levied against the Cayman Feeder, see also "United States Federal Income Tax Considerations—Compliance under FATCA and Obligation to Withhold" above.

By investing in the Cayman Feeder and/or continuing to invest in the Cayman Feeder, if formed, Limited Partners will have been deemed to acknowledge that further information may need to be provided to the Cayman Feeder, the Cayman Feeder's compliance with the AEOI Regulations may result in the disclosure of Limited Partner information, and Limited Partner information may be exchanged with overseas fiscal authorities. Where a Limited Partner fails to provide any requested information (regardless of the consequences), the General Partner and the Cayman Feeder may take any action and/or pursue all remedies at its disposal, including (i) organize an alternative investment vehicle at the expense of such Limited Partner and transfer such Limited Partner's Commitment to such alternative investment vehicle, (ii) exclude such Limited Partner from the Cayman Feeder, including by compulsory transfer or withdrawal, and/or (iii) hold back or deduct from any withdrawal proceeds or from any other payments or distributions to such Limited Partner any costs caused by such Limited Partner's action or inaction. In accordance with TIA issued guidance, the Cayman Feeder will be required to close an investor's account if a self-certification is not obtained within 90 days of account opening.

The following is added to Section XI of the Memorandum titled "Legal & Tax Matters" following the subsection titled "Federal Securities Law Regulation."

Cayman Islands Regulatory Matters

Private Funds Act Regulation

The Cayman Feeder is required to register and be regulated as a private fund under the Private Funds Act (As Revised) of the Cayman Islands (the "**Private Funds Act**").

Once registered, the Cayman Islands Monetary Authority ("**CIMA**") will have supervisory and enforcement powers to ensure the Cayman Feeder's compliance with the Private Funds Act. Regulation under the Private Funds Act entails the filing of prescribed details and audited accounts with the CIMA annually. The Cayman Feeder may at any time be instructed by CIMA to have its accounts audited and to submit them to CIMA within such time as CIMA specifies or to provide a one-off or periodic report to CIMA on certain matters requested by CIMA in connection with the private fund in such form and within such time as CIMA specifies. In addition, CIMA may ask the General Partner to give CIMA such documents, statements or other information in respect of the Cayman Feeder as CIMA may reasonably require to enable it to carry out its duty under the Private Funds Act.

However, as a regulated private fund, the Cayman Feeder will not be subject to supervision in respect of its investment activities or the constitution of its investment assets by CIMA or any other governmental authority in the Cayman Islands, although CIMA does have power to investigate the activities of the Cayman Feeder in certain circumstances.

CIMA may take certain actions if it is satisfied that a registered private fund, among other things, is or is likely to become unable to meet its obligations as they fall due, or is carrying on business fraudulently or otherwise in a manner detrimental to the public interest or to the interests of its investors or creditors, or is carrying on or is attempting to carry on business or is winding up its business voluntarily in a manner that is prejudicial to its investors or creditors. The powers of CIMA include the power to cancel the registration of the Cayman Feeder, impose conditions or further conditions on the Cayman Feeder and to amend or revoke those conditions, to appoint a person to advise the Cayman Feeder on the proper conduct of its affairs or to appoint a person to assume control of the affairs of the Cayman Feeder. There are other remedies available to CIMA including the ability to apply to the court for approval of other actions.

The costs of registration of the Cayman Feeder in the Cayman Islands and any costs, including legal costs and any registration or other fees payable to CIMA or any other governmental authority in the Cayman Islands, shall be an expense of the Cayman Feeder and, as applicable, the fund as a whole.

Neither CIMA nor any other governmental authority in the Cayman Islands has commented upon or approved the terms of this Memorandum or the merits of an investment in the Cayman Feeder. There is no investment compensation scheme available to investors in the Cayman Islands.

Private Funds Act – Ongoing Requirements

As a regulated private fund under the Private Funds Act, the Cayman Feeder will be required to maintain certain operating conditions in the conduct of its business. In furtherance thereof, the

General Partner has appointed the Manager and/or may appoint one or more other service providers to:

(a) implement appropriate and consistent procedures for the purposes of proper valuations of the assets of the Cayman Feeder which ensure valuations are conducted in accordance with the requirements of applicable law;

(b) ensure that valuations of the assets of the Cayman Feeder are carried out at a frequency that is appropriate to the assets held by the Cayman Feeder and, in any case, on at least an annual basis;

(c) hold custodial fund assets in custody for the account of the Cayman Feeder and to verify, based on information provided by or on behalf of the Cayman Feeder together with available external information, that the Cayman Feeder holds title to the assets of the Cayman Feeder and maintain a record of the assets of the Cayman Feeder;

(d) monitor the cash flows of the Cayman Feeder;

(e) ensure that all cash of the Cayman Feeder has been booked in cash accounts opened in the name, or for the account, of the Cayman Feeder; and

(f) ensure that all payments made by investors in respect of interests in the Cayman Feeder have been received.

The Cayman Feeder is not required to appoint a custodian if it is neither practical nor proportionate to do so, having regard to the nature of the Cayman Feeder and the type of assets it holds. The Cayman Feeder has not appointed a custodian and the Manager shall verify the Cayman Feeder's title to its assets and undertake the requisite cash monitoring duties and such function is independent from the Manager's portfolio management function.

Save as otherwise disclosed in this Memorandum, the General Partner has not identified any potential conflicts of interest by the performance of any of the above functions by the General Partner, the Manager and/or their affiliates.

Cayman Islands Anti-Money Laundering Regulations

In order to comply with legislation or regulations aimed at the prevention of money laundering and the countering of terrorist and proliferation financing, the Cayman Feeder is required to adopt and maintain anti-money laundering procedures, and may require prospective investors to provide evidence to verify their identity, the identity of their beneficial owners/controllers (where applicable) and source of funds. Where permitted, and subject to certain conditions, the Cayman Feeder may also rely upon a suitable person for the maintenance of its anti-money laundering procedures (including the acquisition of due diligence information) or otherwise delegate the maintenance of such procedures to a suitable person (a "**Relevant AML Person**").

The Cayman Feeder, or the Relevant AML Person on the Cayman Feeder's behalf, reserves the right to request such information as is necessary to verify the identity of a prospective investor (*i.e.* a subscriber for or a transferee of interests in the Cayman Feeder) and the identity of their beneficial owners/controllers (where applicable) and their source of subscription funds. Where the circumstances permit, the Cayman Feeder, or the Relevant AML Person on the Cayman Feeder's behalf, may be satisfied that full due diligence may not be required at subscription where a relevant exemption applies under applicable law. However, detailed verification information may be required prior to the payment of any proceeds in respect of, or any transfer of, an interest in the Cayman Feeder.

In the event of delay or failure on the part of the prospective investor in producing any information required for verification purposes, the Cayman Feeder, or the Relevant AML Person on the Cayman Feeder's behalf, may refuse to accept the application, or if the application has already occurred, may suspend or require the withdrawal or redemption of the interest, in which case any funds received will, to the fullest extent permitted by applicable law, be returned without interest to the account from which they were originally debited.

The Cayman Feeder, or the Relevant AML Person on the Cayman Feeder's behalf, also reserves the right to refuse to make any withdrawal, redemption or distribution payment to a holder of Cayman Feeder interests if the Cayman Feeder or the Relevant AML Person on the Cayman Feeder's behalf suspects or is advised that the payment of withdrawal, redemption or distribution proceeds to such interest holder may be non-compliant with applicable laws or regulations, or if such refusal is considered necessary or appropriate to ensure the compliance by the Cayman Feeder or the Relevant AML Person with any applicable laws or regulations.

The Cayman Islands Monetary Authority has a discretionary power to impose substantial administrative fines upon the Cayman Feeder in connection with any breaches by the Cayman Feeder of prescribed provisions of the Anti-Money Laundering Regulations (As Revised) of the Cayman Islands, as amended and revised from time to time, and upon the General Partner and/or any director or manager of the Cayman Feeder who either consented to or connived in the breach, or to whose neglect the breach is proved to be attributable. To the extent any such administrative fine is payable by the Cayman Feeder, the Cayman Feeder will bear the costs of such fine and of any associated proceedings.

If any person in the Cayman Islands knows or suspects or has reasonable grounds for knowing or suspecting that another person is engaged in criminal conduct or money laundering or is involved with terrorism or terrorist financing and property and the information for that knowledge or suspicion came to such person's attention in the course of business in the regulated sector, or other trade, profession, business or employment, the person will be required to report such knowledge or suspicion to (a) the Financial Reporting Authority of the Cayman Islands ("**FRA**"), pursuant to the Proceeds of Crime Act (As Revised) of the Cayman Islands, if the disclosure relates to criminal conduct or money laundering, or (b) a police officer of the rank of constable or higher or the FRA pursuant to the Terrorism Act (As Revised) of the Cayman Islands if the disclosure relates to involvement with terrorism or terrorist financing and property. Such a report shall not be treated as a breach of confidence or of any restriction upon the disclosure of information imposed by any enactment or otherwise.

Prospective investors may obtain details (including contact details) of the Cayman Feeder's current Anti-Money Laundering Compliance Officer, Money Laundering Reporting Officer and Deputy Money Laundering Reporting Officer by contacting General Partner at BHaier@encapinvestments.com.

Sanctions

The Cayman Feeder is subject to laws that restrict it from dealing with entities, individuals, organizations and/or investments which are subject to applicable sanctions regimes. Accordingly, the Cayman Feeder will require a prospective investor to represent and warrant, on a continuing basis, that it is not, and that to the best of its knowledge or belief its beneficial owners, controllers or authorized persons ("**Related Persons**") (if any) are not: (i) named on any list of sanctioned entities or individuals maintained by the US Treasury Department's Office of Foreign Assets Control ("**OFAC**") or pursuant to European Union ("**EU**") and/or United Kingdom ("**UK**") Regulations (as the latter are extended to the Cayman Islands by statutory instrument) and/or Cayman Islands legislation, (ii) operationally based or domiciled in a country or territory in relation to which sanctions imposed by the United Nations, OFAC, the EU, the UK and/or the Cayman Islands apply or (iii) otherwise subject to sanctions imposed by the United Nations, OFAC, the EU, the UK (including as the latter are extended to the Cayman Islands by statutory instrument) or the Cayman Islands (collectively, a "**Sanctions Subject**").

Where the subscriber or a Related Person is or becomes a Sanctions Subject, the Cayman Feeder may be required immediately and without notice to the subscriber to cease any further dealings with the subscriber and/or the subscriber's interest in the Cayman Feeder until the subscriber ceases to be a Sanctions Subject, or a license is obtained under applicable law to continue such dealings (a "**Sanctioned Persons Event**"). The Cayman Feeder, the General Partner and the Manager will have no liability whatsoever for any liabilities, costs, expenses, damages and/or losses (including, but not limited to, any direct, indirect or consequential losses, loss of profit, loss of revenue, loss of reputation and all interest, penalties and legal costs and all other professional costs and expenses) incurred by the subscriber as a result of a Sanctioned Persons Event. In addition, should any investment made on behalf of the Cayman Feeder subsequently become subject to applicable sanctions, the Cayman Feeder may immediately and without notice to the subscriber cease any further dealings with that investment until the applicable sanctions are lifted or a license is obtained under applicable law to continue such dealings.

In addition, should any investment made on behalf of the Cayman Feeder subsequently become subject to applicable sanctions, the Cayman Feeder may immediately and without notice to the subscriber cease any further dealings with that investment until the applicable sanctions are lifted or a license is obtained under applicable law to continue such dealings.

Cayman Islands Beneficial Ownership Regime

The Cayman Feeder is regulated as a private fund under the Private Funds Act and, accordingly, does not fall within the scope of the primary obligations under Part XVIIA of the Companies Act (As Revised) of the Cayman Islands (the "**Beneficial Ownership Regime**"). The Cayman Feeder is therefore not required to maintain a beneficial ownership register. The Cayman Feeder may, however, be required from time to time to provide, on request, certain particulars to other Cayman Islands entities which are within the scope of the Beneficial Ownership Regime and which are therefore required to maintain beneficial ownership registers under the Beneficial Ownership Regime. It is anticipated that such particulars will generally be limited to the identity and certain related particulars of (i) any person holding (or controlling through a joint arrangement) a majority of the voting rights in respect of the Cayman Feeder; (ii) any person who is a member of the Cayman Feeder and who has the right to appoint and remove a majority of the General Partner;

and (iii) any person who has the right to exercise, or actually exercises, dominant direct influence or control over the Cayman Feeder.

Cayman Islands Economic Substance Regime

Cayman Islands companies, registered foreign companies and exempted limited partnerships are (unless exempted) subject to the requirements under the International Tax Co-operation (Economic Substance) Act (As Revised) of the Cayman Islands (the "**Economic Substance Regime**"). The Cayman Feeder is not a relevant entity for the purposes of the Economic Substance Regime as it meets the definition of an "investment fund" under the Economic Substance Regime. The Cayman Feeder must file an annual notification confirming its classification as an investment fund under the Economic Substance Regime.

The Cayman Islands Exempted Limited Partnership Act (As Revised)

The Cayman Feeder was formed and registered in the Cayman Islands on March 30, 2023 as a Cayman Islands exempted limited partnership under the Exempted Limited Partnership Act (As Revised) (the "**ELP Act**"). A Cayman Islands exempted limited partnership is constituted by the signing of the relevant partnership agreement and its registration with the Registrar of Exempted Limited Partnerships in the Cayman Islands.

Notwithstanding registration, an exempted limited partnership is not a separate legal person distinct from its partners. Under Cayman Islands law, any rights or property of an exempted limited partnership (whether held in that partnership's name or by any one or more of its general partners) shall be held or deemed to be held by the general partner, and if more than one then by the general partners jointly, upon trust as an asset of the exempted limited partnership in accordance with the terms of the partnership agreement. Any debts or obligations incurred by the general partner in the conduct of the Cayman Feeder's business are the debts and obligations of the exempted limited partnership. Registration under the ELP Act entails that the exempted limited partnership becomes subject to, and the limited partners therein are afforded the limited liability (subject to the partnership agreement) and other benefits of, the ELP Act.

The business of an exempted limited partnership will be conducted by its general partner(s) who will be liable for all debts and obligations of the exempted limited partnership to the extent the Cayman Feeder has insufficient assets. As a general matter, a limited partner of an exempted limited partnership will not be liable for the debts and obligations of the exempted limited partnership save (i) as provided in the partnership agreement, (ii) if such limited partner becomes involved in the conduct of the partnership's business and holds himself out as a general partner to third parties or (iii) if such limited partner is obliged pursuant to the ELP Act to return a distribution made to it where the exempted limited partnership is insolvent and the limited partner has actual knowledge of such insolvency at that time.

The Cayman Feeder will be terminated, wound up and dissolved in accordance with its partnership agreement. Copies of the Cayman Feeder's partnership agreement, together with copies of the Cayman Feeder's annual or periodic reports as detailed in this Memorandum, are available upon request from the General Partner and, upon reasonable notice, may be inspected at the offices of the General Partner.